Legal Protection of Digital Property

Lecture 1

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Who Can Take This Course

- adequate English level
  - able to read, understand and interpret facts and law
  - able to write clear and structured arguments based on facts and law
- attention to detail
  - a critical skill for achieving accuracy and precision in legal analysis

- analytical ability
  - able to identify the main issues from the facts
  - able to evaluate the strengths and weaknesses of plausible arguments and arrive at the best legal conclusion

- academic integrity
  - every work submitted is the result of your independent effort ie. no copying, not written by 3rd party (human or AI)

Legal Protection of Digital Property

- intellectual property laws **(IP laws)**
  - copyright
  - patent
  - Trademark

  NB. Trademark will not be covered in this course.

- protection of personal data

NB. This course focuses on HK law, but discussions relevant to all other common law countries that share similar legal principles eg. UK, Australia, New Zealand, Singapore, South Africa and Canada.

NB. US laws are less relevant to HK because they are often drafted very differently from HK laws.

Basic Legal Concepts

- **Criminal law vs Civil law**
  - crimes
    - » usually more serious wrongs affecting the interests of society as a whole
    - » the *prosecutor* (usually the government, except for "private prosecutions") *prosecutes* the *accused/defendant*
    - » accused may be *acquitted* or *convicted* (ie. found *guilty)*
    - » sentence is punitive
    - » proof by prosecution must be **"beyond reasonable doubt"** ie. virtually certain that the accused has committed the crime

» generally governed by ordinances eg. Theft Ordinance, Crimes Ordinance

– civil wrongs

» wrongs primarily affecting the interests of individual legal persons

» the *plaintiff sues* the *defendant*

» result may be *judgment for the plaintiff* or *judgment for the defendant*

» award is compensatory (with a few exceptions)

» proof by plaintiff is on **"a balance of probabilities"** ie. > 50% likelihood that defendant has committed the civil wrong

» civil law = all the law that is not criminal law eg. tort, contract, trust, Copyright Ordinance

NB. A wrong can be both a civil wrong and a crime eg. selling pirated DVDs.

NB. Criminal prosecution is by govt

» **once started, a criminal proceeding can only be discontinued by govt**

» **if burden of proof on accused (raising a defence), standard is "proof on a balance of probabilities"**

NB. An employer is <u>vicariously liable</u> for <u>civil wrongs</u> committed by his employee in the course of employment (employer's "vicarious liability").

NB. Vicarious liability does not apply to crimes ie. an employer is not liable for crimes committed by his employee unless the employer is <u>personally involved</u> in the commission of the crime.

- **Meaning of “common law”**
  - permits "judge-made" law ie. in addition to legislation (written law), the following is also part of law
    - judicial reasoning behind a decision
    - judicial interpretation of legislation
  - doctrine of binding judicial precedent (*stare decisis*) ie. decisions of higher courts binding on lower courts

NB. In HK, highest court is Court of Final Appeal, followed by Court of Appeal, Court of First Instance, District Court, Magistrates' Courts.

NB. Citing judicial decisions in court is part of common law practice.

NB. Mainland China is not a common law system (but "continental law" or "civil law" system).

Copyright

- property right to exploit one's own copyright work and stop others from copying or exploiting the work without permission

- governed by the Copyright Ordinance (Cap 528) enacted on 26 June 1997 with effect from 27 June 1997

Basics of HK Copyright Law

1. Copyright = *intangible* property in the work as distinct from the *tangible* property in the material containing the work

E1: X writes a letter and sends it to Y. Does Y acquire any property upon receiving the letter? If so, what is that property?

2. Copyright subsists only in 9 categories of work specified in CO, s.2(1) and as defined in ss.4-10.

NB. "Literary work" includes:

- **computer program: CO, s.4(1)(b);**
- **compilation of data or other materials if its <u>selection or arrangement</u> of contents constitutes an intellectual creation: CO, s.4(1)(a). This is regardless of whether the contents themselves enjoy copyright.**

3. Copyright only protects expressions of an idea but not the idea itself ("idea/expression dichotomy")

   – not found in CO but in TRIPS (Agreement on Trade-Related Aspects of Intellectual Property Rights), Art 9.2 **(*RR = Recommended Reading)**

   – TRIPS binding on all WTO members including HK

NB. Idea/expression dichotomy is closely related to UK's "skill and labour" doctrine for copyright protection (see later). Generally, the more details there are in an "idea", the more skill and labour the author has put in, hence the more likely the "idea" has become an "expression" protected by copyright. Conversely, the less details there are in an "idea", the less likely it can be regarded as an "expression".

4. Copyright does not subsist in a literary, dramatic or musical work until it is recorded in writing or otherwise ("fixation" requirement): Copyright Ordinance, s.4(2)

   – "writing" includes any form of notation or code, whether by hand or otherwise and regardless of the method by which, or medium in or on which, it is recorded: Copyright Ordinance, s.198(1)

5. Literary, dramatic, musical and artistic works must be "original" to attract copyright ("originality" requirement): Copyright Ordinance, s.2(1)(a)

– 2 conditions:

(1) must not be copied from another work (ie. originates from the author): *University of London Press v University Tutorial Press* [1916] 2 Ch 601. **(*RR)**

(2) has involved the author's skill and labour: *Ladbroke (Football) v William Hill* [1964] 1 WLR 273.

NB. A work may still be original even though some parts of it infringe the copyright of another: cf. *Interlego v Tyco* [1988] RPC 343

- **a work can incorporate pre-existing materials, but it must impart to the work some quality or character which the pre-existing materials did not possess**

NB. Most relevant to object-oriented programming.

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6. Copyright arises automatically and requires no registration or any formalities.

NB. Not always easy to know who is the copyright owner of a work (eg. pictures found on Internet).

7. Copyright prevents copying but not use of the copyright work or any independent creation (even if the second work is identical with the first one)

NB. Different from patent which also protects against use of the invention and any independent making of the same invention.

8. A "work" may consist of several copyright works belonging to different owners.

E1: X collects short stories written by S, T, Y and Z and compiles them into a book. How many copyright owners?

E2: CD of a popular song: X composes the music, Y writes the lyrics, Z sings the song, and P produces the recording.

9. Copyright may be split up into different rights which may be separately assigned or licensed
   - **assignment:** the *assignee* becomes the new copyright owner.
   - **licence:** the *licensee* is permitted to perform acts in accordance with the terms of the licence, but does not own the copyright.

NB. Licence may be exclusive (see CO, s.103) or non-exclusive.

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NB. When copyright owner and exclusive licensee have concurrent rights to sue an infringer, whoever takes action must include the other as a party to the litigation: CO, ss.112, 113.

- examples of splitting up copyright:
  - distribution right in HK to X, distribution right in PRC to Y
  - Chinese translation right to Z, German translation right to W
  - paperback right to V, hardback right to S

10. Copyright law is territorial **(NB. Same as most other laws in HK.)**

- copyright law of each jurisdiction only applies within that jurisdiction unless there are bilateral agreements to the contrary

Recommended Reading

- TRIPS Arts 9-14.
- University of London Press v University Tutorial Press [1916] 2 Ch 601